Before the
U.S. SMALL BUSINESS ADMINISTRATION
Washington, DC 20416

In the Matter of
Small Business Size Standards: Revised Size Standards Methodology
Docket No. SBA-2026-0265
91 Fed. Reg. 54096 (Aug. 20, 2026); comment period extended, 91 Fed. Reg. 60524 (Sept. 24, 2026)

COMMENT OF TAIWO FAUSIYAT ADESIYAN

On the application of the Revised Methodology to farming

I. Introduction and Interest of the Commenter

I am a doctoral candidate in economics at Middle Tennessee State University. My research and published work concern agricultural economics and rural development, including smallholder farm productivity, agricultural credit and farmer cooperatives. I maintain *The Farm Share Evidence Program*, an open archive of USDA administrative data on U.S. farm operations (https://doi.org/10.5281/zenodo.22834813). I submit this comment in my individual capacity. My affiliation is given for identification only, and the views expressed are my own.

The Revised Methodology would move the 17 farm industry groups and industries in NAICS 111 and 112 from receipts-based to employee-based size standards. It would also treat every one of them as competing in a single national market (91 Fed. Reg. at 54146). Most farm industries currently have receipts-based standards: for example, $2.25 million for soybean farming, $2.5 million for corn farming, $2.5 million for beef cattle ranching and $3.75 million for dairy. Under the proposal, no employee-based standard may fall below 500 employees (91 Fed. Reg. at 54148).

SBA asks, among other questions, whether it has "chosen the appropriate size measure for all industry groups and industries," whether it has "used the most appropriate data sources for incorporating industry groups and industries not included in SUSB, NES, and CBP," and whether "the deviations SBA proposes" from its geographic-market algorithm are appropriate (91 Fed. Reg. at 54154). It also requests comment on "any reliance interests implicated by such methodology" (91 Fed. Reg. at 54097). Farming is the sector where all four questions meet, and this comment addresses them for farming.

I do not dispute that farm receipts are volatile. They move with commodity prices: the market value of U.S. agricultural products sold rose 40 percent between the 2017 and 2022 Censuses of Agriculture. My concern is that, for farms, the proposed employee measure is not yet defined, is

largely derived from receipts in any case, and cannot currently be matched to the farms it would classify. SBA's own analysis acknowledges this last point.

II. Summary of Recommendations

1. **Define the farm employee measure.** SBA should state which Census of Agriculture labor variable it uses and put it on the same footing as the eligibility rule in 13 CFR 121.106. It should also disclose that, for 11 of the 17 farm groups, "employment" is allocated in proportion to receipts.
2. **Account for seasonality**, and for the end of USDA's Agricultural Labor Survey, the only quarterly survey of farm employers.
3. **Apply the Fishing nonemployer test to farms.** Farms were outside the data SBA used for that comparison, although 77 percent of farms hire no labor.
4. **Test the single national market** with evidence on where farm products are bought and sold, not only on where they are grown.
5. **Clarify who counts as a farm's employee** when labor comes through farm labor contractors or H-2A arrangements.
6. **Complete the statutory impact count for farms, and address agencies' reliance.** Until a published tabulation of farms by the new measure exists, SBA should keep receipts-based farm standards.

III. The Farm Employee Measure is Undefined and Largely Derived from Receipts

Farms are excluded from the Statistics of U.S. Businesses (SUSB) and the Nonemployer Statistics (NES), which SBA uses for most industries (91 Fed. Reg. at 54143–44). SBA therefore uses "employee counts" from the Census of Agriculture "in place of those from" SUSB and NES (91 Fed. Reg. at 54140). The Revised Methodology does not say which Census of Agriculture variable those "employee counts" are. It also says that the Census of Agriculture "contains employment information on 6 out of the 17 industry groups." For the other 11, "[t]heir employment is split in proportion to the amount of receipts generated in each industry group or industry as a proportion of all receipts" (91 Fed. Reg. at 54140; 91 Fed. Reg. at 54144).

Two consequences follow. First, for most farm groups the proposed employee-based standard rests on a receipts share. The reason SBA gives for preferring employment is that it is less volatile than receipts. That reason does not apply to an employment figure computed from receipts. Second, the choice of variable matters a great deal, because official measures of farm employment differ by a factor of three (Figure 1).

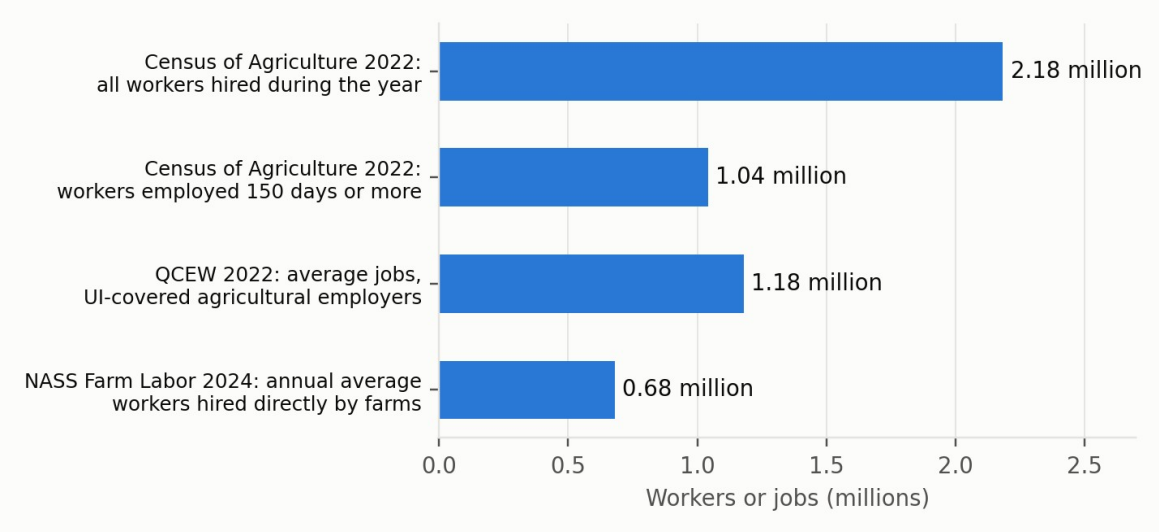


Figure 1. Four official measures of U.S. hired farm employment. Sources: USDA NASS, 2022 Census of Agriculture, Vol. 1, Ch. 2 (U.S. State Level Data), Table 7; USDA ERS, Charts of Note (Oct. 3, 2023), from BLS QCEW; USDA NASS, *Farm Labor* (Nov. 20, 2024). The measures differ in coverage and year and are shown only to illustrate how much the choice of measure matters.

The 2022 Census of Agriculture reports 2,184,493 hired workers on 437,310 farms. That is a count of workers over the year, split by days worked, not the number on the payroll at a given time. More than half (52 percent, or 1,142,508 workers) worked fewer than 150 days. By contrast, NASS's Farm Labor Survey put the 2024 annual average of workers hired directly by farms at 679.8 thousand. The QCEW, which covers agricultural employers with unemployment insurance, averaged about 1.18 million jobs in 2022. The Census of Agriculture total is 3.2 times the NASS average and 1.9 times the QCEW figure.

A farm's own size, by contrast, is its average employment over the pay periods of the preceding 24 months (13 CFR 121.106(b)(1)). If the national industry size counts every worker hired during the year, while each farm is measured by its average payroll, the resulting standard will be looser than intended, possibly by a factor of two or three.

1. SBA should state which Census of Agriculture variable it uses for each of the six farm groups with direct data, and publish the resulting national industry size in employees.
2. SBA should convert that variable to an average-employment basis consistent with 13 CFR 121.106 and report the conversion factor for each group. The QCEW average employment for each industry is one available benchmark.
3. For the 11 groups whose employment is allocated by receipts, SBA should explain why an employee-based standard derived from receipts is preferable to a receipts-based standard.

IV. Seasonality, and a Survey That No Longer Exists

Farm employment is among the most seasonal in the economy (Figure 2). In 2024, farms directly employed 496 thousand hired workers in the January reference week and 808 thousand in July, a rise of 63 percent. January was 27 percent below the annual average and July 19 percent above it. Workers employed 149 days or less rose from 49 thousand to 190 thousand, 3.9 times as many.

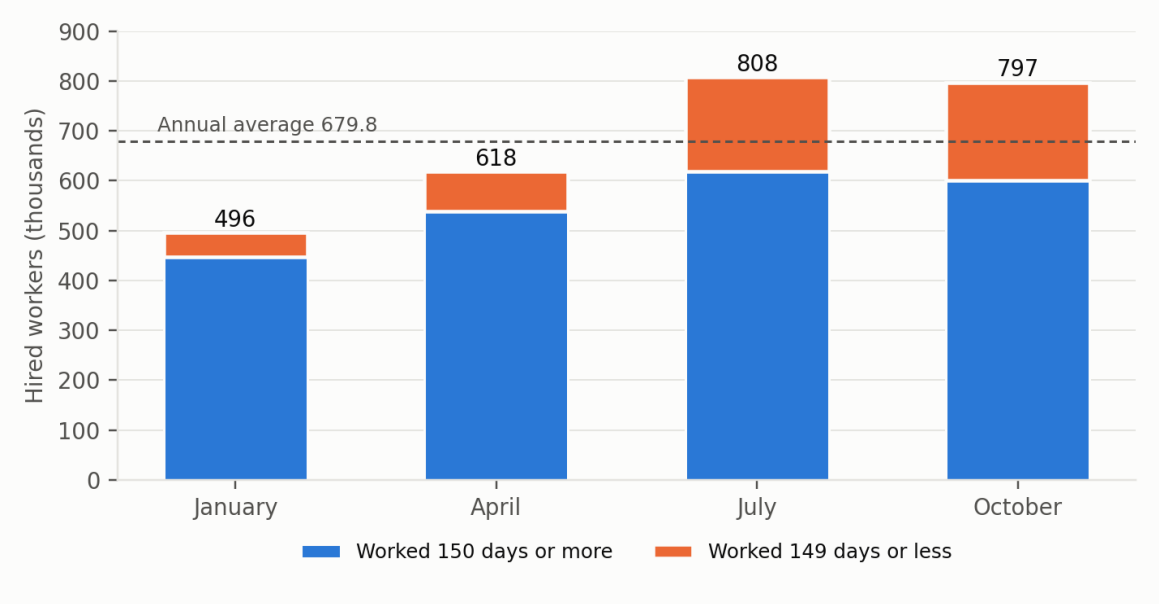


Figure 2. Workers hired directly by U.S. farms, by reference week, 2024. Source: USDA NASS, *Farm Labor* (Nov. 20, 2024).

At the level of the individual farm, the 24-month averaging rule handles seasonality reasonably. At the industry level, any count of everyone hired during the year has to be calibrated against seasonal data before it can be compared with an average. That has become harder: in August 2025, NASS discontinued the Agricultural Labor Survey, the source of the quarterly figures above (Discontinuance of Information Collections, 90 Fed. Reg. 42560 (Sept. 3, 2025)). USDA named the BLS Occupational Employment and Wage Statistics program as the better source for measuring farm wages (90 Fed. Reg. at 42561). The notice does not name a replacement for the survey's quarterly counts of hired farm workers. At the next five-year review SBA will be left with the Census of Agriculture, which is taken every five years, and the QCEW, which omits farms that are not required to carry unemployment insurance. Many small farms are among them.

1. SBA should describe how it will calibrate farm employment for seasonality now that the Agricultural Labor Survey has ended, and which data it will use at future reviews.
2. Where no reliable average-employment measure exists for a farm group, SBA should treat that as a reason to keep the receipts-based standard for that group.

V. The Fishing Test should be applied to Farms

SBA proposes to keep Fishing receipts-based "due to the heavy use of independent contractors rather than employees," finding that "57 percent of receipts in the industry group were generated by nonemployers, far higher than any other industry group with a proposed employment based size standard" (91 Fed. Reg. at 54130). That comparison was "[b]ased on a combination of data from the Statistics of U.S. Businesses and the Nonemployer Statistics." As SBA recognizes elsewhere, farms are excluded from both (91 Fed. Reg. at 54143–44). The finding therefore does not, on its face, cover farming.

Farming is the obvious industry to test next. Of the 1,900,487 farms in the 2022 Census of Agriculture, only 437,310 (23 percent) had hired labor, and 1,463,177 (77 percent) had none. Only 37,384 farms, about 2 percent, hired 10 or more workers at any time during the year. Farm output is concentrated on larger operations, so the share of farm receipts from farms without hired labor is likely well below the share of farms. Whether it is above or below Fishing's 57 percent is an empirical question that SBA can answer from the Census of Agriculture.

1. SBA should compute, for each farm group, the share of receipts generated by farms with no hired labor, and publish it next to the Fishing figure.
2. SBA should apply the same decision rule it applied to Fishing. Where the share is comparable, the group should stay receipts-based.

VI. The Single National Market should be Tested on Where Farm Products Compete

SBA assumes "a single geographic market" for all 17 farm groups. Its test of that assumption ran the clustering algorithm on "the acreage of six crops (wheat, corn, hay, soybeans, vegetables, and fruit orchards), and the number of three types of livestock (cattle, hogs, and broiler chickens)" (91 Fed. Reg. at 54146). Acreage and livestock numbers show where farm products are grown. They do not show how far buyers and sellers reach, which is the test in the Horizontal Merger Guidelines that SBA adopts as its reading of "field of operation." Several farm groups are sold in markets that are plainly regional or local. Fluid milk is priced under eleven regional Federal Milk Marketing Orders, with county-specific Class I (fluid milk) price differentials (USDA AMS, Release No. 167-24, Nov. 12, 2024). Egg and nursery production were not among the commodities tested, and a count of cattle does not show where milk is sold.

The choice matters because it interacts with the 500-employee floor (91 Fed. Reg. at 54148). With one national market and a floor of 500 employees, virtually every U.S. farm would be small: in 2022 only 37,384 farms hired 10 or more workers at any time during the year. SBA observes that past methodology gave farms size standards "far below firms in other sectors of the economy despite the fact that the markets they competed in are national in scope" (91 Fed. Reg. at 54153). That premise may hold for grains and oilseeds. It has not been shown for fluid milk, eggs, fresh

produce or nursery products, where a large operation can hold a substantial share of a regional market.

1. For each farm group, SBA should test market extent using evidence on where products are sold, such as shipment distances, regional price data, or marketing-order boundaries, and not only on where they are grown.
2. SBA should publish the proposed standard for each of the 17 farm groups, with the share of farms and of farm receipts it would classify as small.

VII. Who Is a Farm's Employee?

Much farm work is done by crews supplied by farm labor contractors (NAICS 115115) or brought in under the H-2A program, where the employer of record may be the farm, the contractor or an association. Under 13 CFR 121.106(a), SBA counts individuals employed on any basis, including "employees obtained from a temporary employee agency, professional employee organization or leasing concern." USDA itself has noted that "more and more farmers rely on farm labor contractors to supply their workforce," and that its own farm labor survey "does not capture information from farm labor contractors" (90 Fed. Reg. at 42561). It is not clear whether a contractor's crew working a farm's harvest counts toward that farm's size, toward the contractor's, or both. Under a receipts standard the question did not arise. Under an employee standard, it can decide eligibility for specialty-crop farms.

1. SBA should state how workers supplied by farm labor contractors and workers employed under H-2A arrangements are counted, for the farm and for the contractor. It should also state whether the Census of Agriculture variable used in the formula counts them the same way.

VIII. The Statutory Impact Count, and Other Agencies' Reliance

The Small Business Act requires SBA, when it proposes size standards, to make publicly available "the number of concerns not currently considered small that would be considered small under the proposed rulemaking and the number of concerns currently considered small that would be deemed other than small" (15 U.S.C. 632(a)(6)(D)). The Revised Methodology estimates that about 114 thousand businesses would become small, but that estimate excludes farms. For farms it states only that "[t]here may be as many as 38 thousand farms that could gain small business status though the Census of Agriculture lacks detailed data on firm size by employment to make a confident estimate" (91 Fed. Reg. at 54151).

That admission has consequences beyond SBA's own programs. SBA notes that it "sets the standard for what most agencies consider a small business," including for "relief from regulatory burdens" (91 Fed. Reg. at 54096). Under the Regulatory Flexibility Act, "small business" takes the Small Business Act meaning unless an agency adopts its own definition after consulting SBA's

Office of Advocacy (5 U.S.C. 601(3)). Agencies that regulate farms, such as USDA and EPA, count affected small farms from Census of Agriculture tables organized by value of sales. If SBA itself cannot count farms by employment with confidence, those agencies cannot either. Every farm rulemaking would then have to estimate the count or adopt a separate definition.

1. SBA should complete the 15 U.S.C. 632(a)(6)(D) count for each farm group, working with NASS on a special tabulation of farms by the employee measure it adopts, before finalizing any employee-based farm standard.
2. Until such a tabulation exists, SBA should keep receipts-based standards for farm groups, adjusted for inflation and, if SBA so decides, productivity, as it proposes for other receipts-based standards.

IX. Conclusion

SBA is right that farm receipts swing with prices and that many farm markets are national. For farming, however, the proposed employee measure is not yet defined, and for most farm groups it is computed from receipts. It cannot yet be tabulated for the farms it would classify, and it depends on survey data that USDA has stopped collecting. Until those gaps are closed, receipts remain the more reliable measure of farm size, and the methodology should say so. I appreciate the opportunity to comment.

Respectfully submitted,

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Appendix: Sources

- USDA NASS, *2022 Census of Agriculture*, Vol. 1, Chapter 1 (U.S. National Level Data), Table 1 (farms, value of sales), and Chapter 2 (U.S. State Level Data), Table 7 (hired farm labor, workers and payroll).
- USDA NASS, *Farm Labor* (released Nov. 20, 2024), hired workers by reference week and annual average, 2024.
- USDA NASS, Discontinuance of Information Collections, 90 Fed. Reg. 42560 (Sept. 3, 2025), Agricultural Labor Survey (OMB No. 0535-0109).

- USDA ERS, "Employment in U.S. agriculture grew 6 percent between 2012 and 2022," Charts of Note (Oct. 3, 2023), from BLS QCEW, https://ers.usda.gov/data-products/charts-of-note/107518.
- U.S. Census Bureau, County Business Patterns methodology and Nonemployer Statistics FAQ (industry coverage).
- SBA, Table of Small Business Size Standards (effective Mar. 17, 2023); 13 CFR 121.106; 15 U.S.C. 632(a)(6); 5 U.S.C. 601(3).
- USDA AMS, "USDA Issues Final Decision on Amendments to all Eleven Federal Milk Marketing Orders," Release No. 167-24 (Nov. 12, 2024).

Ratios and percentages are computed from the published figures above. The calculation script is available from the author on request.